Interpretation of Financial Statements

Exam code: 9BS0

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Using the statement of comprehensive income

- The **statement of comprehensive income is also known as the profit and loss account**
- It shows the **income** and **expenditure** of a business over a period of time — usually a year — and calculates the amount of **profit** made (see sub-topic 2.3.1)

Example of a statement of comprehensive income for Head to Toe Wellbeing Ltd

	2022 (£)	2021 (£)
Revenue	124,653	121,791
Cost of Sales	18,922	22,646
Gross Profit	**105,731**	**99,145**
Administrative expenses	39,867	36,448
Operating Profit	**65,864**	**62,697**
Interest	2,043	2,952
Exceptional Costs	6,225	0
Profit for the year	**57,596**	**59,745**
Taxation	5,470	5,680
Profit for the year after tax	**52,126**	**54,065**

GROSS PROFIT = REVENUE – COST OF SALES

OPERATING PROFIT = GROSS PROFIT – EXPENSES

PROFIT FOR THE YEAR = OPERATING PROFIT – INTEREST & EXCEPTIONAL COSTS

PROFIT FOR THE YEAR AFTER TAX = PROFIT FOR THE YEAR – TAX

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- The extract from the statement of comprehensive income for ***Head to Toe Wellbeing Ltd*** shows figures for both 2022 and the previous year, allowing **comparison over time**

Stakeholder interest in the statement of comprehensive income

- The profit and loss account is a very useful source of information for stakeholders to **evaluate the performance of a business**
  - **Shareholders**

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

        - Interested in profits earned and potential for wage increases and job stability
    - **Managers and directors**
        - Interested in key performance data, such as an improvement in sales revenue and net profit
    - **Suppliers**
        - Interested in the continued success of the company that they are supplying
        - This information is also used by suppliers to determine the level of **trade credit** offered to businesses
    - **Government**
        - Used to determine how much tax is payable
    - **Local community**
        - Interested in the stability of the business and what this may mean for jobs in the community
        - Another interest is to see if the firm is generating enough profit to perhaps approach them for local sponsorship

Using the statement of financial position (balance sheet)

- The statement of financial position, sometimes called the **balance sheet**, contains the financial information required to draw conclusions about the **liquidity of the business**
    - Liquidity is the ability of a business to **meet its short-term commitments** (e.g. payments to creditors) with its available assets
    - A business that cannot pay its bills will usually **fail very quickly**, even if it is profitable
    - Managing liquidity is a key way to **manage risk** in a business and helps a business prepare for the unexpected
- The statement of financial position shows the **financial structure** of a business at a specific point in time
    - It identifies a business's **assets** and **liabilities** and specifies the **capital** (money) used to fund the business
    - The statement of financial position is also known as the **balance sheet**

Example of a statement of financial position for Packer Sports Ltd

Vehicles	42,000	
Machinery	18,500	60,500
Current Assets		
Inventory	8,250	
Trade Receivable	2,630	
Bank	4,080	
Cash	585	15,545
Current Liabilities		
Trade Payables	3,960	
Bank Overdraft	1,100	5,060
Net Current Assets		10,485
Non-current Liabilities		
Mortgage		20,000
Net Assets		50,985
Financed by		
Capital		16,595
Profit for the year		36,990
Less Drawings		2,600
Capital Employed		50,985

AND BUILDINGS

CURRENT ASSETS ARE ITEMS THAT ARE **CONVERTED TO CASH QUICKLY** – USUALLY WITHIN 12 MONTHS.

CURRENT ASSETS ARE COMPRISED OF CASH, TRADE RECEIVABLES AND INVENTORY

CURRENT LIABILITIES IS **MONEY A BUSINESS OWES AND IS DUE TO BE SETTLED SOON** – USUALLY WITHIN 12 MONTHS.

CURRENT LIABILITIES INCLUDE TRADE PAYABLES AND SHORT-TERM BORROWING SUCH AS A BANK OVERDRAFT

NON-CURRENT LIABILITIES IS **MONEY A BUSINESS OWES** AND THAT DOES NOT NEED TO BE PAID BACK FOR AT LEAST 12 MONTHS.

NON-CURRENT LIABILITIES INCLUDE BANK LOANS AND MORTGAGES

NET ASSETS = ASSETS – LIABILITIES

THE STATEMENT OF FINANCIAL POSITION SHOWS **HOW THE NET ASSETS OF A BUSINESS ARE FUNDED.**

IN THIS CASE THE BUSINESS IS FUNDED WITH A COMBINATION OF OWNERS CAPITAL AND PROFIT GENERATED BY THE BUSINESS.

THE TOTAL FUNDING IS KNOWN AS THE **CAPITAL EMPLOYED.**

NET ASSETS = CAPITAL EMPLOYED

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Stakeholder interest in the statement of financial position

- Stakeholders will use the statement of financial position **alongside the statement of comprehensive income** to perform **ratio analysis** and **compare performance over time or with other businesses**

How stakeholders use the statement of financial position

Stakeholder	Interest in the statement of financial position
Shareholders	• Used to identify the **asset structure** of the business and how their investment has been put to use • Used to calculate the **working capital** of the business and determine its solvency • Used to determine the rough **value of a business**, which helps a judgement on **whether their investment is growing**
Managers and directors	• Used to identify the **financial position** of the business at a given point in time • Useful to assess the **working capital** position of the business and determine if there are **enough liquid current assets to pay its bills**

	further funds through **borrowing or via other means** (e.g. share issue)
Suppliers and creditors	• Used to judge the **solvency** of the business to determine the **risk when offering firms trade credit** • Businesses with **low levels of working capital** may find it difficult to pay short-term debts, and so suppliers **may offer trade credit, but with stricter terms**
Employees	• Is the business financially stable, or are jobs at risk? • Has the business's performance improved or worsened? • What is the business spending its money on? • How much are senior executives paid? • How much tax is the business paying?

Examiner Tips and Tricks

Information found in the profit and loss account and the balance sheet can be used in a range of answers.

For example, if you are answering a question about sources of finance, you might be able to use the capital structure of the business to recommend whether a business should borrow or look at an alternative source.

If a business already relies heavily on borrowing, it may be more sensible to recommend seeking to raise more share capital.

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